First, the poorest of the poor or literally destitutes. The poorest of the poor/destitute are the people who cannot work to earn a living, like the old, infirm and physically challenged. The redistribution programme for such people need to have both financial (cash transfers/pensions) and non-financial (health, housing, access to roads) support.

Second, the economically poor. These persons can and do earn but not enough to lead a healthy and productive life (such people are classified economically poor on the multidimensional poverty template; India has about 25 per cent of its population considered multidimensionally poor). They need support for meeting their basic necessities, like electricity, gas, toilets and a house, as well as for acquiring education, health facilities, skills and financial support to be able to raise their income to get out of the multi-dimensional poverty levels.

Third, the vulnerable non-poor. These people ordinarily earn an adequate income to lead a healthy and productive life but may fall back in poverty or become economically poor during natural or manmade crises/catastrophes. They need support to meet their needs during such adversities only, like the labour who lost their jobs during the lockdown imposed after Covid-19 spread.

Expenditures the Centre Should Not Undertake

There are two broad types of expenditures the Centre must not undertake, as such expenditures amount to gross misallocation of otherwise scarce public resources. In addition, the Central government is not the best agency to deliver the services such expenditures seek to provide.

First, provision of private goods and services. The 1991 reforms have created an economy in which most of what can be termed ‘private goods’ are best provided by the private sector, such as production of food and clothing, bus transport, hotels, travel and bus services, telecom, power, steel and engineering goods. These are provided more efficiently and at a lower